



Do What
You Love

OCT
2014

wework

COMPANY OVERVIEW

KEY FACTS

- Founded in 2010 in New York City
- 220 employees; 20 locations; seven cities
- 15,000 members (as of October 31, 2014)
- Average monthly revenue per member: \$628
- Average occupancy at mature locations: 99%
- Average unit EBITDA margin at mature locations: 41%

FINANCIALS

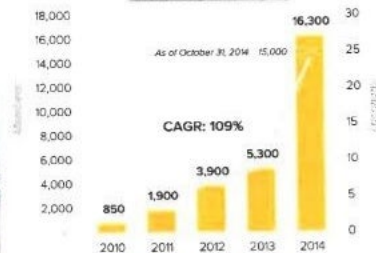
	2012	2013	2014P	Dec-14P Run
Revenue	\$18.4mm	\$30.8mm	\$74.6mm	\$121.4mm
EBITDA	\$2.7mm	\$3.2mm	\$14.0mm	\$38.2mm



ESTABLISHED IN KEY MARKETS



GROWING RAPIDLY



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Source: "Global Workplace Strategies: Global Office Market Outlook 2014-2016"

SPACE AS A SERVICE

WHAT WE DO

We create **working and living spaces** that are responsive to the productivity needs and **stylistic preferences** of today's **mobile, creative workforce**. We the only **organized, global, well-capitalized provider** of Space as a Service Model.

GLOBAL, MACRO TRENDS

We are capitalizing on **profound changes in technology, demographics and urbanization** – which collectively are **driving a secular shift** toward more **flexible, entrepreneurial and collaborative** work styles.

POWERFUL ECOSYSTEM

Our members are connected through our **proprietary, mobile-centric technology** – allowing them to extract maximum value from **the WeWork ecosystem**. The resulting **'WeWork effect'** is driving **accelerating demand** for our product.

MASSIVE OPPORTUNITY

Our **Total Addressable Market** – space and services for Individuals and businesses – **is massive** and only **small penetration is needed to generate billions in revenue**.

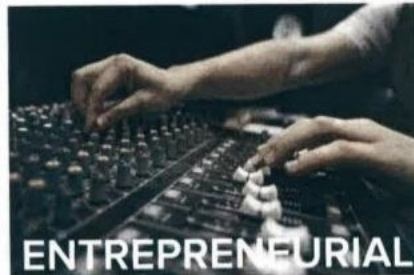
FIRST MOVER

We are benefitting from **significant network effects and economies of scale**, have a **four-year head start** on competitors who might start today, and are expanding rapidly. **By the end of 2016, we will have a \$1Bn revenue run-rate with 34% margins.**

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MILLENNIALS ARE REDEFINING THE WORKFORCE

Empowered by technology, the rising generation has new needs and behaviors



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CREATING FUNDAMENTAL SHIFTS

These values are changing consumption patterns, and the way people work and live:

COMMUNITY



DIGITAL

facebook

LinkedIn

yelp

PHYSICAL

SXSW

TED

meetup

CLUSTERING



SUSTAINABILITY + TECHNOLOGY = DENSITY

2008

250

AVG SQ FT /
WORKER

2014

150

AVG SQ FT /
WORKER

2008

670

AVG SQ FT /
RESIDENT

2014

560

AVG SQ FT /
RESIDENT

WeWork

60

AVG SQ FT /
WORKER

WeLive

214

AVG SQ FT /
RESIDENT

SHARING



TRANSFORMING TRADITIONAL MODELS

UBER

airbnb

Spotify

YouTube

E lance

taskrabbit

WORK IS CHANGING

Freelancing and small business formation is surging, and projected to accelerate

INDEPENDENT WORKFORCE
AS % OF TOTAL U.S. WORKFORCE

30%
40 MILLION PEOPLE
2008

33%
45 MILLION PEOPLE
2014

40%
60 MILLION PEOPLE
2020

470,000

NEW BUSINESSES LAUNCHED PER MONTH

OLD WORK

Risk Averse
Loyal
Rely on your paycheck
Grow with the company
Division of labor
Indifferent

NEW WORK

Entrepreneurial
Opportunistic
Rely on your network
Grow your own company
Together
Inspired

WEWORK

Affordability & simplicity
Freedom & Flexibility
Community & connective technology
Services & tools to succeed
Connections & collaboration
Motivation & celebration

Source: Bureau of Economic Analysis, Bureau of Labor Statistics, U.S. Census Bureau, and U.S. Department of Commerce

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CREATING A NEW ECOSYSTEM FOR WORK

we work

SPACE



BEAUTIFUL, FUNCTIONAL, COLLABORATIVE

- High-energy, high-energy workspaces
- Kitchens, conference rooms, lounges
- All the basics: wifi, coffee, printers, supplies
- No up-front hassle or long-term contract

COMMUNITY



CONNECTING COMPANIES & CREATORS

- Small business online marketplace
- Demos, panels, happy hours
- Education, inspiration, connections
- Quarterly retreats & getaways

SERVICES



- Healthcare
- Back-office services
- Education & training
- Fully integrated digital app

we work

THE WEWORK EFFECT

As the WeWork platform grows, community value increases, creating supply and demand network effects that are mutually reinforcing



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POWERED BY TECHNOLOGY AT EVERY LAYER

Proprietary software makes the design, development and management of our spaces efficient and scalable



DESIGN & MANAGER

- Streamline space design
- Track and manage key milestones

ANALYTICS & REPORTS

- Optimized layouts
- Detailed cost management

MEMBER VIEW

- Engage the community online
- Optimize personal and office experience

SPACE

- Efficient booking
- Automated onboarding experience, including onboarding kits

WEWORK

- Streamline the onboarding process
- Streamline onboarding experience

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FIRST MOVER WITH CRITICAL MASS

With a growing community and established brand in key gateway markets, WeWork has distanced itself from competition



LOCATIONS OPEN OR UNDER DEVELOPMENT (34)



Member counts represent available workspace in cities for which we have data as of 12/31/2015. NYC and LA include member counts for all member locations.

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PROVEN, PROFITABLE BUSINESS MODEL

WeWork locations operate near 100% occupancy with average margins greater than 40%

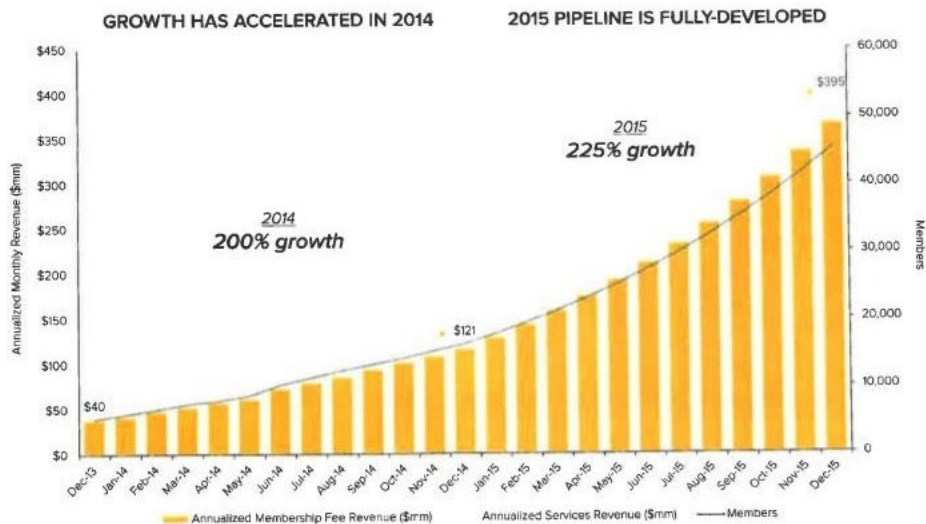
Year opened	2010		2011		2012		2013		2014											
Location	NY 01	NY 02	NY 03	SF 01	NY 04	LA 01	NY 05	SF 02	NY 06	NY 07	NY 08	DC 01	BOS 01	BOS 02	SEA 01	DC 02	NY 09	NY 10	NY 11	AVG
Occupancy	96%	100%	100%	99%	100%	100%	100%	100%	100%	99%	99%	99%	99%	96%	96%	100%	99%	99%	99%	99%
Desks	522	511	389	532	1,324	488	535	656	1,269	607	940	324	610	799	835	543	725	787	1,474	730
License Fee / Mem. / Mo.	\$621	\$593	\$743	\$535	\$588	\$469	\$650	\$546	\$533	\$807	\$614	\$501	\$599	\$513	\$498	\$508	\$711	\$701	\$651	\$600
Services Rev. / Mem. / Mo.	\$25	\$22	\$35	\$29	\$19	\$48	\$31	\$28	\$28	\$28	\$28	\$28	\$28	\$28	\$28	\$28	\$28	\$28	\$28	\$28
(Annual figures, \$ in millions)																				
Total Revenue	\$3.9	\$3.8	\$3.6	\$3.6	\$9.6	\$3.0	\$4.4	\$4.5	\$8.5	\$6.0	\$7.2	\$2.0	\$4.6	\$5.0	\$5.1	\$3.5	\$6.4	\$6.8	\$11.9	\$5.4
Rent & OpEx	(2.4)	(2.4)	(2.2)	(1.9)	(5.5)	(1.9)	(2.7)	(2.8)	(5.1)	(3.8)	(4.5)	(1.3)	(2.6)	(3.0)	(3.0)	(2.0)	(4.0)	(3.7)	(6.2)	(3.2)
Unit EBITDA	\$1.5	\$1.3	\$1.4	\$1.7	\$4.1	\$1.1	\$1.7	\$1.7	\$3.5	\$2.2	\$2.6	\$0.7	\$1.9	\$2.0	\$2.0	\$1.5	\$2.3	\$3.1	\$5.7	\$2.2
Margin	39%	36%	40%	47%	43%	36%	39%	37%	41%	36%	37%	36%	42%	40%	40%	44%	37%	46%	48%	41%

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Source: WeWork, 2010-2014. All figures in millions of dollars.

GROWING RAPIDLY

Top line growth is accelerating due to a robust pipeline and rising per member revenue



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BROADENING MEMBER BASE



WEWORK'S VALUE-ADDED TENANCY

Like Whole Foods in the retail sector, WeWork creates significant real estate value for property owners by activating and rebranding assets and neighborhoods

	175 Varick	222 Broadway	210 N. Green	25 Taylor	51 Melcher	Total
						
WeWork Location	NY04	NY06	CHI01	SF02	BOS02	
Market	New York, NY	New York, NY	Chicago, IL	San Francisco, CA	Boston, MA	
Submarket	Soho	Financial Dist	West Loop	Mid-Market	Seaport	
Investor	AEW	Beacon Capital	Shorenstein	Warhorse LLC	Synergy	
Total Sq Ft	168,000	756,000	65,000	56,000	111,000	1,156,000
WeWork Sq Ft	108,000	125,000	58,000	56,000	49,000	396,000
WeWork %	64%	17%	89%	100%	44%	34%
Investment	\$32.3m	\$350.0m	\$18.5m	\$18.0m	\$17.5m	\$436.3m
Today's Value	\$58.7m	\$510.0m	\$35.0m	\$27.0m	\$50.0m	\$680.7m
Multiple	1.8x	1.5x	1.9x	1.5x	2.9x	1.6x
Hold Period	1.5 yrs	2.0 yrs	2.0 yrs	2.0 yrs	3.0 yrs	2.4 yrs
Unlevered IRR	51%	21%	38%	22%	42%	25%

Notes:

(1) The 175 Varick Property Group owns the 175 Varick building.

(2) 222 Broadway is owned by WeWork Real Estate Management, L.P. (WREML) in partnership with

175 Varick Group, L.P. and 175 Varick Group, L.P. (175 Varick Group, L.P.) owns the 175 Varick building.

(3) 210 N. Green is owned by WeWork Real Estate Management, L.P. (WREML) in partnership with

210 N. Green Group, L.P. and 210 N. Green Group, L.P. (210 N. Green Group, L.P.) owns the 210 N. Green building.

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AND PARTNERSHIPS WITH LEADING GLOBAL LANDLORDS

Strong relationships with leading real estate owners give WeWork an inside track to the premier real estate portfolios around the world

WEWORK PARTNERS

The Blackstone Group



VORNADO
REAL ESTATE

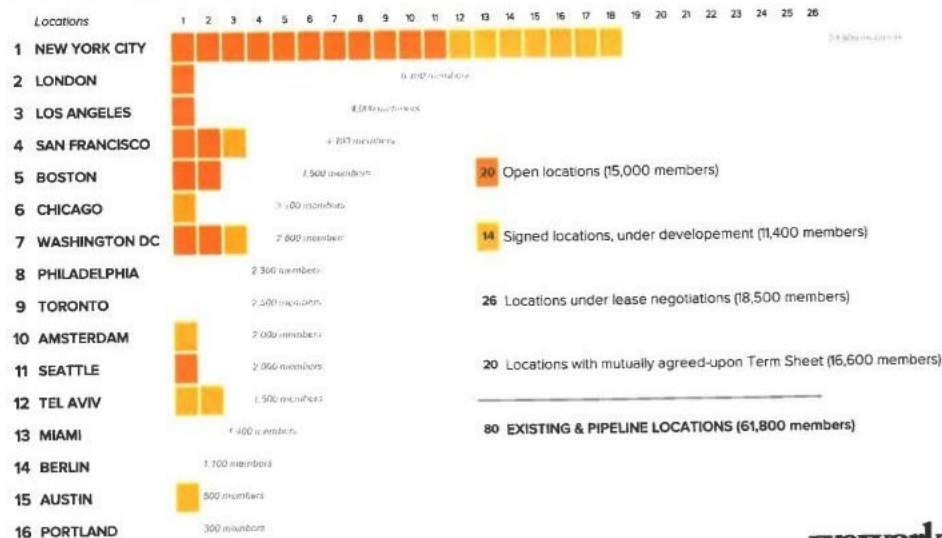
BEACON CAPITAL
PARTNERS



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AND A FULLY PREDICTABLE PIPELINE

By leveraging landlord relationships, WeWork is building an Asset Light path toward critical mass in 16 key markets

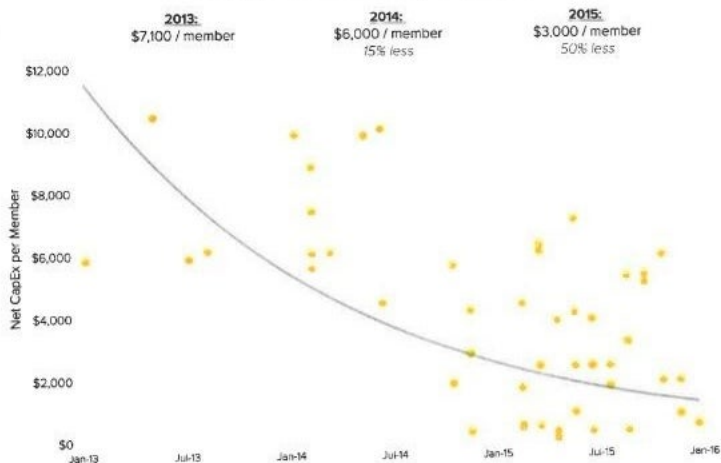


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ARE DRIVING CAPITAL EFFICIENT DEAL FLOW

Landlords in all geographies are contributing significant capital to bring WeWork to their buildings, allowing the company to scale more quickly and efficiently

NET CAPEX PER MEMBER, BY LOCATION



MARKET TERMS

Landlord pays 50% of CapEx

Market Rent

No Profit Share

40% Unit EBITDA

22 month payback

ASSET LIGHT

Landlord pays 75% of CapEx

At or below Market Rent

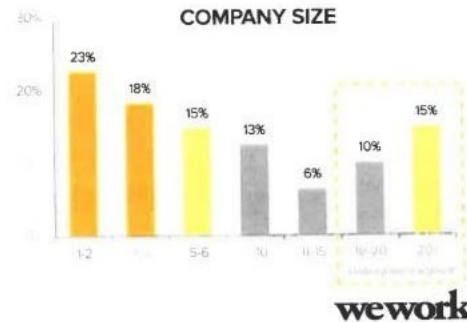
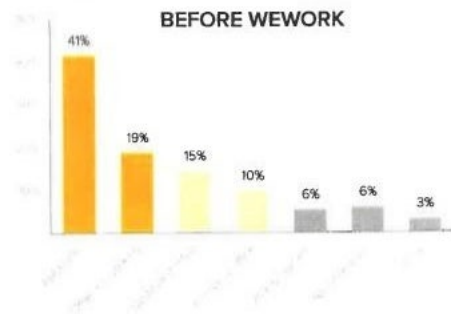
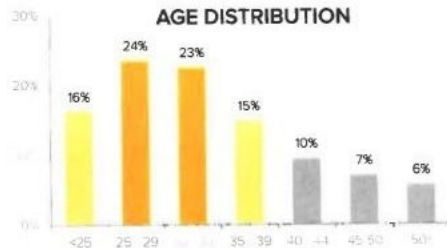
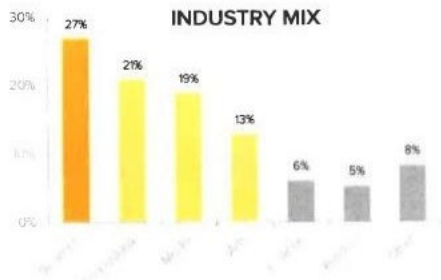
25-50% Profit Share

32% Unit EBITDA

7 month payback

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A CREATIVE MEMBERSHIP



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CONNECTED BY A SEAMLESS MOBILE EXPERIENCE

Intuitive, mobile technology is core to the WeWork experience, driving productivity and connections

**WEWORK,
AT YOUR FINGERTIPS...**



**CHECK-IN
GUESTS**



GRAB LUNCH



**MESSAGE FELLOW
MEMBERS**



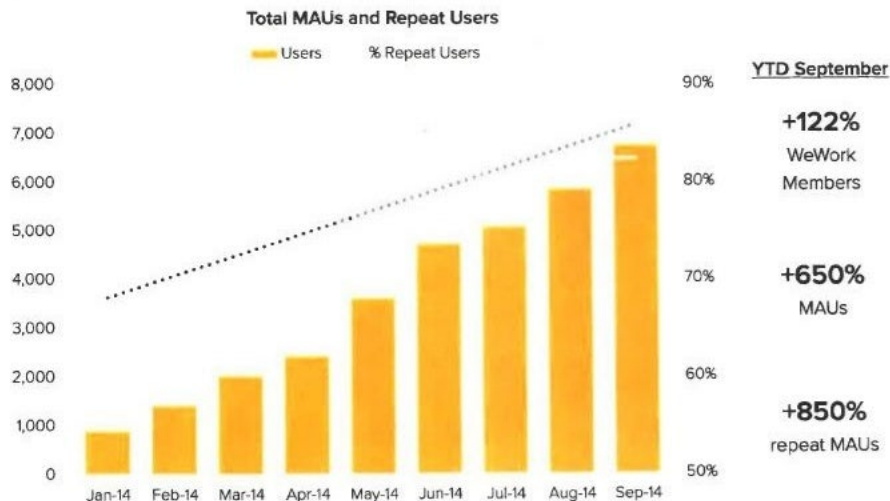
**SIGN-UP FOR
SERVICES**



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GROWTH IN MOBILE USAGE

Mobile app usage is far outpacing member growth, and the percent of users visiting the app multiple times per month is up sharply



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UPCOMING SOCIAL INITIATIVES

New functionality coming to increase the number of social connections made across the member network

1. SUPER-FAST ROUTING & ENGAGEMENT WITH LISTINGS

- No ask goes unanswered
- Routing to people most likely to help (legal → lawyers)
- Ability to share a listing with others to get help



2. NEW "TINDER-LIKE" CONNECTIONS

- Drive discovery & connections
- Simple options: Help, Refer or Pass



3. PUBLIC PROFILES

- Drive SEO for members and WeWork
- Better promotions for members within the community and outside



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LEVERAGING SCALE TO PROVIDE VALUABLE SERVICES

As WeWork grows, its ability to curate, negotiate and deliver best-in-class services increases

PRODUCTIVITY

CONFERENCE



TELEPHONE SERVICES



PRINTING / COPYING



WELLNESS

HEALTHCARE



FOOD & BEVERAGE



FITNESS



EFFICIENCY

EDUCATION



PAYMENTS



LEGAL / ACCOUNTING



GROWTH

FINANCIAL SERVICES



E-COMMERCE



CLOUD SERVICES



Today's offering / Currently generating \$29 per member per month (4% of revenue)

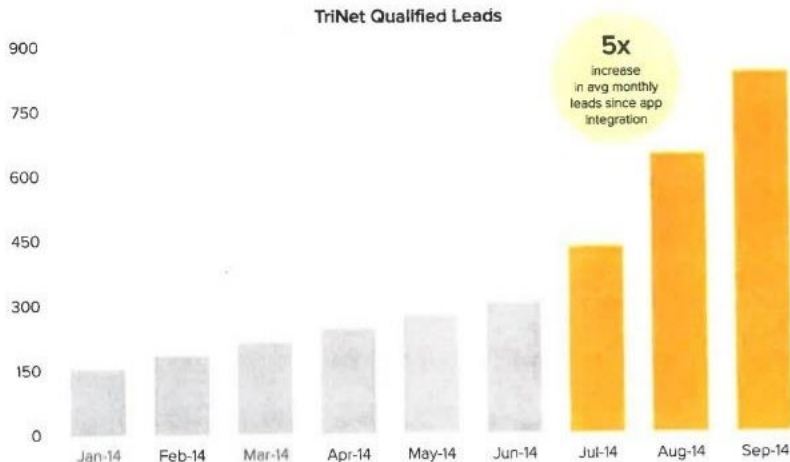
New services / Phase I: Partnership agreements in place

New services / Phase II: Exploration phase

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STRONG INTEREST IN SERVICES OFFERINGS

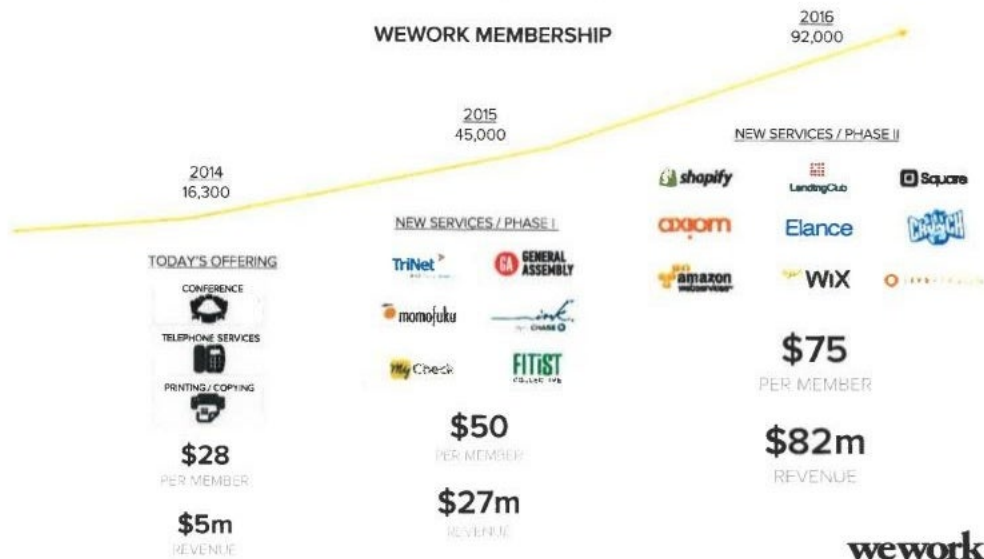
After ramping up our informational campaign in August, interest in the WeWork / TriNet healthcare offering has seen a dramatic increase



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AND MONETIZING A GROWING MEMBER BASE

By layering services on top of a rapidly growing platform, WeWork is creating an increasingly valuable product while driving meaningful revenue



EXTENDING THE OFFERING BEYOND PHYSICAL MEMBERS

The WeWork Everywhere membership offering leverages WeWork's established platform of space, community and services



SUPPORTIVE COMMUNITY

Find collaborators, mentors, investors and support via app, web, or live events



RALPH MILLER

CURATED SERVICES

Curated, low-cost services driving productivity, wellness, efficiency & growth



DO I NEED HEALTH INSURANCE?

SPACE WHEN YOU NEED IT

Access to conference rooms & desks as you need, where you need them



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welive

WELIVE / REINVENTING RESIDENTIAL

The demand for Space as a Service extends to residential real estate, making WeLive a natural extension of the WeWork concept, community and brand

welive

SPACE



BEAUTIFUL. FUNCTIONAL. FLEXIBLE

COMMUNITY



CONNECTED. COLLABORATIVE. SOCIAL

SERVICES



SIMPLE. SEAMLESS. AFFORDABLE



we work

NEXT GENERATION COMMUNITIES

WeWork's member base and track record have attracted substantial Landlord capital to develop mixed-use locations managed by WeWork and WeLive

CRYSTAL CITY - DC

October 2015

\$31.8mm from Vornado Realty Trust



**wework+
welive**

110 WALL ST - NYC

November 2015

\$60.4mm from Rudin Management



**wework+
welive**

wework

URBAN CAMPUSES

At the Brooklyn Navy Yard, WeWork will design, occupy and manage a large-scale urban campus, creating (and capturing) substantial real estate value

PROJECT

- 14-story, 530,000 square feet, Class A commercial office building + public space
- Q2 2016 completion

DEVELOPERS

- Boston Properties / Rudin Managements

TENANTS

- WeWork / WeWork HQ / Creative Office

ECONOMICS

- \$250 million development (funded by Developers)
- \$13.8 million up-front payment to WeWork
- \$16.2 million Landlord contribution to WeWork



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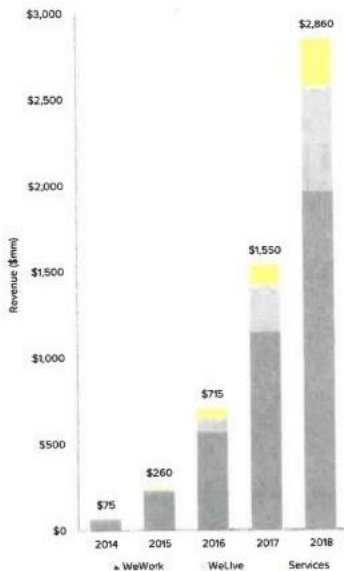
THE WELIVE OPPORTUNITY / U.S.

	Members at 10% penetration							Members at 20% penetration		
	Population April 18-24	% Non-Family Households	Non-Family Population April 18-24	% Non-Family Households	Non-Family Households April 18-24	% College Educated	College Educated Population April 18-24	1%	3%	5%
1 New York, NY	6,377,797	29.2%	1,860,968	66.1%	1,296,943	56.4%	740,276	7,403	22,208	37,014
2 Los Angeles, CA	5,786,905	28.9%	1,532,590	66.7%	1,021,838	57.1%	583,286	5,835	17,498	29,183
3 Chicago, IL	2,963,228	30.1%	892,275	54.9%	490,186	60.8%	298,229	2,982	8,947	14,911
4 San Francisco, CA	2,246,114	32.4%	727,823	66.2%	482,079	69.1%	332,876	3,329	9,986	16,644
5 Dallas, TX	2,307,289	28.2%	648,687	61.6%	400,282	56.2%	236,889	2,367	7,101	11,834
6 Philadelphia, PA	2,332,329	29.8%	695,974	53.4%	371,797	56.9%	207,723	2,077	6,232	10,380
7 Washington, DC	2,094,361	31.9%	667,832	54.5%	363,872	67.2%	244,376	2,444	7,331	12,219
8 Boston, MA	1,892,192	32.0%	605,847	59.3%	359,479	64.8%	232,793	2,328	6,984	11,640
9 Houston, TX	2,107,230	26.9%	566,656	60.7%	343,842	56.3%	193,874	1,937	5,810	9,884
10 Atlanta, GA	2,046,073	29.3%	599,729	51.9%	310,989	59.7%	185,773	1,858	5,573	9,280
11 Seattle, WA	1,528,477	34.0%	520,014	58.2%	302,748	66.6%	207,564	2,076	6,227	10,378
12 Phoenix, AZ	1,550,408	31.3%	485,822	52.9%	257,241	61.0%	158,917	1,589	4,768	7,846
13 Denver, CO	1,334,887	34.4%	459,690	54.9%	252,413	67.4%	170,227	1,702	5,107	8,511
14 San Diego, CA	1,086,932	30.8%	335,278	66.0%	221,156	66.1%	148,182	1,482	4,388	7,308
15 Miami-Ft. Lauderdale, FL	1,345,700	29.8%	402,506	53.6%	216,580	53.3%	115,390	1,154	3,462	5,770
16 Minneapolis-St. Paul, MN	1,352,840	31.3%	423,727	49.2%	204,503	55.8%	134,464	1,345	4,034	6,723
17 Detroit, MI	1,336,175	30.6%	408,599	48.0%	196,426	60.7%	118,270	1,183	3,578	5,963
18 Sacramento, CA	1,234,595	26.9%	331,813	57.1%	189,426	60.1%	113,821	1,139	3,418	5,696
19 Tampa, FL	1,139,480	33.1%	376,754	49.8%	187,595	54.0%	103,333	1,023	3,070	5,117
20 Portland, OR	963,451	32.1%	309,351	58.4%	180,541	64.3%	116,034	1,160	3,481	5,802
21 Cleveland, OH	1,006,735	31.6%	318,290	53.2%	169,188	53.7%	96,884	909	2,720	4,543
22 Orlando, FL	1,078,074	30.6%	329,688	50.6%	166,872	57.0%	95,134	951	2,854	4,757
23 Austin, TX	710,120	35.7%	253,568	64.7%	164,124	68.9%	109,832	1,098	3,288	5,492
24 Raleigh-Durham, NC	947,424	30.1%	284,750	66.2%	189,078	61.8%	98,848	988	2,965	4,942
25 Indianapolis, IN	682,518	31.0%	213,173	54.4%	148,541	53.9%	80,878	801	2,402	4,034
Total	47,850,867		14,312,831		8,438,824		5,112,708	51,127	153,381	255,835
								x \$21,600	x \$21,600	x \$21,600
Annual Revenue / Member (\$1,800 Monthly Membership Fee)								\$110,140,000,000	\$3,328,906,000	\$5,480,000,000
Annual Revenue										
Annual EBITDA (40% margin)								\$66,000,000	\$1,328,000,000	\$2,192,000,000

Source: U.S. Census Bureau, 2010 Census

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FIVE-YEAR FORECAST



KEY ASSUMPTIONS

Members

WeWork	16,279
WeLive	962
WeWork Everywhere	-

Membership Fee / Member / Month

WeWork	\$578
WeLive	\$625
WeWork Everywhere	\$688

Services Revenue / Member / Month

WeWork	\$28
WeLive	\$50
WeWork Everywhere	\$75

INCOME STATEMENT (\$MM)

WeWork Membership Fees	\$70
WeLive Membership Fees	-
WeWork Everywhere Membership Fees	-
Services	5
Total Revenue	\$75
% growth	249%
Run-Rate Revenue (December)	\$121
Rent Expense	19
Unit OpEx & Payroll	16
Occupancy & Infrastructure	\$35
Corporate Payroll	13
Marketing	3
Other General & Administrative	9
Total General & Administrative	\$25

EBITDA

% margin	15%
Run-Rate EBITDA (December)	\$39
% Run-rate margin	31%

Ending Cash

2014	2015	2016	2017	2018
16,279	45,352	91,795	167,500	260,000
-	962	6,500	16,800	34,000
-	-	-	-	-
\$578	\$625	\$688	\$739	\$767
-	1,786	1,856	1,930	1,988
-	-	-	-	-
\$28	\$50	\$75	\$75	\$100
-	50	75	100	100
-	-	-	-	-

2014	2015	2016	2017	2018
\$70	\$231	\$567	\$1,149	\$1,967
-	10	83	270	606
-	-	-	-	-
5	19	65	131	287
\$75	\$260	\$715	\$1,550	\$2,860
	249%	175%	117%	85%
\$121	\$417	\$1,039	\$2,132	\$3,685
19	94	252	569	1,064
16	51	129	279	508
\$35	\$145	\$381	\$848	\$1,572
13	21	33	48	66
3	6	7	16	30
9	24	86	95	199
\$25	\$51	\$97	\$159	\$255
\$14	\$64	\$237	\$542	\$1,034
15%	25%	33%	35%	36%
\$39	\$121	\$354	\$758	\$1,314
31%	29%	34%	36%	36%
\$50	\$45	\$55	\$108	\$286

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LEADERSHIP & VISION



ADAM NEUMANN

Co-Founder & Chief Executive Officer

Past experience:

- Co-Founder of Egg Baby, Green Desk, Big Tent
- Entrepreneur & investor



MICHAEL GROSS

Chief Financial Officer

Past experience:

- CEO of Morgans Hotel Group
- Investor with The Yucaipa Companies and SAC Capital Advisors



KAKUL SRIVASTAVA

Chief Product Officer

Past experience:

- GM (Flickr) and VP Comms, Yahoo!
- Founder and CEO, Tomfoolery



MIGUEL MCKELVEY

Co-Founder & Chief Creative Officer

Past experience:

- Co-Founder of Green Desk, Versatation, Baby!
- Led American Apparel design framework; oversaw rollout of 170 stores



KIRSTEN NEVILL-MANNING

Chief People Officer

Past experience:

- Director, People Operations, Google
- Manager, People Operations, Facebook



LEW FRANKFORT

Advisor

Past experience:

- Executive Chairman & CEO, Coach, Inc.

BOARD OF DIRECTORS

ADAM NEUMANN

WeWork

BRUCE DUNLEVIE

Benchmark Capital

STEVEN LANGMAN

The Libman Group

LEW FRANKFORT

Coach, Inc.

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